Block practice · Division of labour and the size of firms

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Small and large firms, and why firms stay small

Division of labour: meaning, benefits and drawbacks

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Practice workbook · Small and large firms, and why firms stay small

Strengths of small firms (flexibility, personal service, niche) versus large firms, and why firms stay small: market size, niche markets, lack of finance, owner's aims.

10 question parts: 1 worked-example retry and 9 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T12-11

1. Question 2 · part f · 3 marks

2023 JAN · Paper 01

Worked-example retry · Attempt part f only.

2

Chart to show market share held by firms within a market

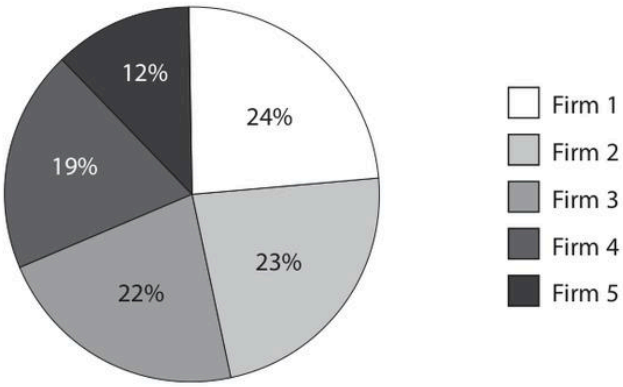


Figure 2

(a) Which **one** of the following options is the type of market shown in Figure 2?

(1)

- ☒ **A** Labour
- ☒ **B** Public
- ☒ **C** Monopoly
- ☒ **D** Oligopoly

(b) An increase in which **one** of the following is most likely to increase productivity?

(1)

- ☒ **A** Bureaucracy
- ☒ **B** Congestion
- ☒ **C** Irrigation
- ☒ **D** Regulation

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1. Question 2 · part f · 3 marks

2023 JAN · Paper 01

Worked-example retry · Attempt part f only.

(c) What is meant by the term barriers to entry?

(2)

A firm has total fixed costs of $57 000 per month and variable costs of $750 per unit. It produces 1,820 units per month.

(d) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

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(e) Describe **one** disadvantage for a government of using subsidies.

(2)

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1. Question 2 · part f · 3 marks

2023 JAN · Paper 01

Worked-example retry · Attempt part f only.

Heather runs a successful restaurant in a small town in Portugal. When her friend asked whether she was going to expand by opening another restaurant, Heather said she was not.

(f) Explain **one** reason why Heather may have decided to keep her business small.

(3)

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1. Question 2 · part f · 3 marks

2023 JAN · Paper 01

Worked-example retry · Attempt part f only.

Hong Kong telecommunications firm, CK Hutch, is planning to merge with Indosat which is based in Jakarta, Indonesia. Indosat provides services for mobile phones and broadband. It is a growing business, with a value of $2.2bn and more than 60 million customers. Indonesia is Southeast Asia's most populated country.

(Source adapted from: https://www.zdnet.com/article/ck-hutchison-and-ooredoo-indonesian-merger-to-create-indosat-ooredoo-hutchison/)

(g) With reference to the data above and your knowledge of economics, assess the extent to which a merger between CK Hutch and Indosat is likely to lead to economies of scale.

(9)

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10

P 7 1 5 5 5 A 0 1 0 2 4

1. Question 2 · part f · 3 marks · Working and answer

Working and answer

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2. Question 1 · part i · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part i only.

1 (a) Which **one** of the following is a feature of an oligopoly?

(1)

- ☒ **A** Large firms dominate
- ☒ **B** Unique product
- ☒ **C** One firm dominates
- ☒ **D** No barriers to entry

(b) A firm has monthly total costs of $150 000 and monthly fixed costs of $90 000. If it produces 1,000 units, what are the monthly total variable costs for the firm?

(1)

- ☒ **A** $60
- ☒ **B** $90
- ☒ **C** $60 000
- ☒ **D** $240 000

(c) What is meant by the term luxury good?

(2)

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2. Question 1 · part i · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part i only.

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(d) State **one** factor that would affect price elasticity of supply (PES).

(1)

(e) Define the term substitute good.

(1)

Small but successful

Robert has been running a small business from a workshop in his own house for nine years. He has been carving door signs and gifts out of locally sourced wood. Rather than producing identical, standard items, he decided to only make products to meet the personal requirements of his customers. Each order is made specifically for them and reviews are very positive. Robert's success is due to a growing trend across the country as consumers increasingly prefer to buy locally sourced products.

(f) Calculate the price elasticity of supply for Robert's wooden door signs when the price increases by 5.2% and quantity supplied increases by 3.9%. You are advised to show your working.

(2)

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2. Question 1 · part i · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part i only.

(g) Using the diagram below, draw the effects on the market for locally sourced goods of more customers preferring to buy from local firms. Label the new curve, new equilibrium price and new equilibrium quantity.

(3)

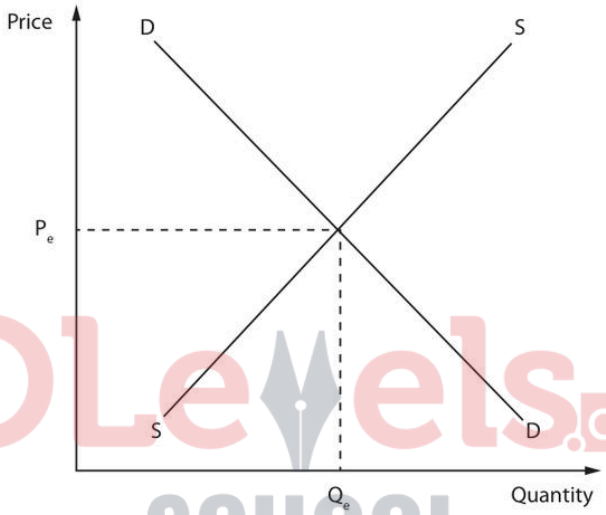


Figure 1

Robert is the only business specialising in handmade door signs in the local area.

(h) Explain **one** disadvantage for customers of Robert being the only local firm specialising in handmade door signs.

(3)

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P 6 0 7 0 9 A 0 4 2 0

2. Question 1 · part i · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part i only.

Despite his success, Robert has decided to keep his business small and not expand.

(i) With reference to the data in **'Small but successful'** and your knowledge of economics, analyse why Robert might have decided not to expand his business.

(6)

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(Total for Question 1 = 20 marks)

2. Question 1 · part i · 6 marks · Working and answer

Working and answer

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3. Question 2 · part h · 9 marks

2020 JAN · Paper 01

Further practice · Attempt part h only.

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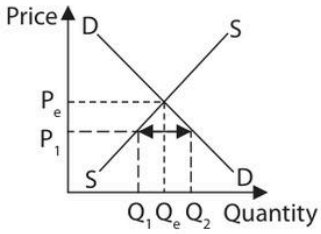
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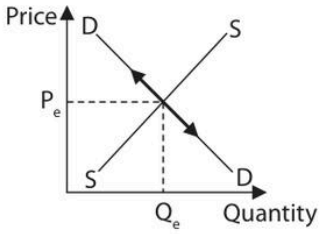
2 (a) Which **one** of the following diagrams shows excess demand?

(1)

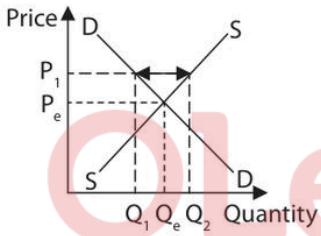
☒ **A**



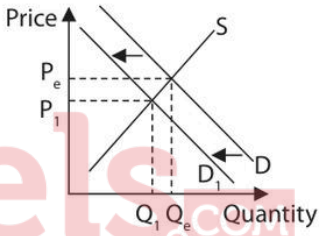
☒ **B**



☒ **C**



☒ **D**



(b) Land can be described as which **one** of the following?

(1)

☒ **A** A diseconomy of scale

☒ **B** A factor of production

☒ **C** A variable cost

☒ **D** A market failure

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3. Question 2 · part h · 9 marks

2020 JAN · Paper 01

Further practice · Attempt part h only.

(c) State the formula for profit.

(1)

(d) Calculate the **price elasticity of supply (PES)** for a product when price increases by 30% and quantity supplied increases by 36%. You are advised to show your working.

(2)

(e) Define the term finance.

(1)

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P 5 9 9 6 3 A 0 8 2 4

3. Question 2 · part h · 9 marks

2020 JAN · Paper 01

Further practice · Attempt part h only.

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The Irish Artisan Charcoal Company (IACC) is the only firm producing charcoal in Ireland. Damaged trees which would otherwise have been left to rot are used to produce top quality charcoal.

(Source adapted from: https://www.limerickleader.ie/video/home/348948/watch-irish-artisan-charcoal-company-in-limerick-blazing-a-trail-with-unique-product.html)

(f) Describe the type of market structure in which the Irish Artisan Charcoal Company operates.

(2)

Street lighting is considered to be a public good.

(g) Explain **one** reason why this may cause a free rider problem.

(3)

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3. Question 2 · part h · 9 marks

2020 JAN · Paper 01

Further practice · Attempt part h only.

Wonderful Wax is a small, UK-based firm that produces candles. The candles are environmentally friendly because they are handmade with soy wax and pure essential oils. This is instead of harmful paraffin wax which produces toxins when burned. Elissa Newham set up the business because she wanted to help the environment. She was surprised when a larger firm made contact, offering its facilities to increase production if Elissa was prepared to share the profits.

(h) With reference to the data above and your knowledge of economics, assess whether Wonderful Wax would have more benefits from remaining a small firm rather than becoming a large firm.

(9)

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P 5 9 9 6 3 A 0 1 0 2 4

3. Question 2 · part h · 9 marks

2020 JAN · Paper 01

Further practice · Attempt part h only.

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(Total for Question 2 = 20 marks)

3. Question 2 · part h · 9 marks · Working and answer

Working and answer

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4. Question 3 · part a · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part a only.

3 (a) Which **one** of the following can be described as an advantage to a small firm?

(1)

- ☒ **A** Access to many sources of finance
- ☒ **B** Flexibility
- ☒ **C** Market domination
- ☒ **D** Risk spreading

(b) Which **one** of the following options describes a price elasticity of supply (PES) of 0.7?

(1)

- ☒ **A** Perfectly price elastic
- ☒ **B** Perfectly price inelastic
- ☒ **C** Price elastic
- ☒ **D** Price inelastic

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4. Question 3 · part a · 1 mark · Working and answer

Working and answer

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5. Question 2 · part c · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part c only.

2 A country is able to produce agricultural and non-agricultural goods with a given amount of resources. Its production possibility curve (PPC) is shown in Figure 2.

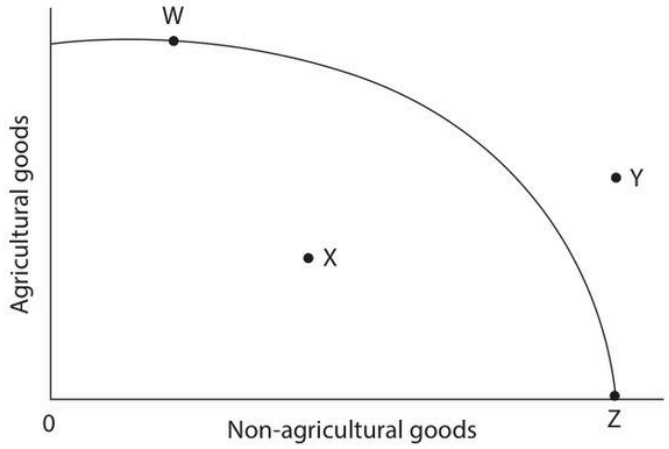


Figure 2

(a) Which **one** of the following points shows unemployed resources? **(1)**

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

(b) A trade union is an organisation that aims to protect **(1)**

- ☒ **A** consumer interests
- ☒ **B** the environment
- ☒ **C** employee rights
- ☒ **D** the government

(c) State **one** reason why firms stay small. **(1)**

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5. Question 2 · part c · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part c only.

A firm increases supply by 2.7% following a price increase of 4.9%.

(d) Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm.
You are advised to show your working.

(2)

(e) Define the term price-maker.

(1)

(f) Describe **one** reason why a computer can be a factor of production.

(2)

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5. Question 2 · part c · 1 mark · Working and answer

Working and answer

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6. Question 2 · part b · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

2 (a) Which **one** of the following would lead to an increase in the supply of labour?

(1)

- ☒ **A** Decrease in the retirement age
- ☒ **B** Increase in the school-leaving age
- ☒ **C** Increase in female participation
- ☒ **D** Decrease in population

A small firm manufactures jewellery to the exact requirements of its customers.

(b) This is an example of which **one** of the following markets?

(1)

- ☒ **A** Monopoly
- ☒ **B** Labour
- ☒ **C** Niche
- ☒ **D** Financial

(c) State the formula for price elasticity of supply (PES).

(1)

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P 6 6 3 2 8 A 0 6 2 4

6. Question 2 · part b · 1 mark · Working and answer

Working and answer

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7. Question 1 · part e · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part e only.

1 (a) Which **one** of the following is a factor of production?

(1)

- ☒ **A** Taxation
- ☒ **B** Gym workout
- ☒ **C** Enterprise
- ☒ **D** Restaurant meal

A firm charges a price of $160 per item and has average costs of $120 per item. It sells 20 000 items.

(b) What is the total revenue for the firm?

(1)

- ☒ **A** $19 200
- ☒ **B** $20 160
- ☒ **C** $2 400 000
- ☒ **D** $3 200 000

(c) What is meant by the term normal good?

(2)

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7. Question 1 · part e · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part e only.

(d) State the formula for social benefits.

(1)

(e) Define the term niche market.

(1)

Greg produces pottery at a small factory in his local area. At the start of the year price increased by 5.4% and quantity supplied increased by 4.7%.

(f) Calculate, to two decimal places, the **price elasticity of supply (PES)** for Greg's pottery. You are advised to show your working.

(2)

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7. Question 1 · part e · 1 mark · Working and answer

Working and answer

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8. Question 2 · part f · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part f only.

2 (a) Which **one** of the following would occur when there are unsold goods in a market?

(1)

- ☒ **A** Excess demand
- ☒ **B** Excess supply
- ☒ **C** Higher prices
- ☒ **D** Increased productivity

(b) Which **one** of the following statements is correct?

(1)

- ☒ **A** The supply curve is always vertical
- ☒ **B** Supply and price are not related
- ☒ **C** Quantity supplied will fall when price falls
- ☒ **D** An increase in price will shift the supply curve

(c) State the name for price elasticity of demand (PED) with a numerical value of –1.

(1)

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A factory producing shoes calculated that quantity supplied decreased by 2.7% following a price decrease of 1.9%.

(d) Calculate, to two decimal places, the **price elasticity of supply (PES)** for shoes. You are advised to show your working.

(2)

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8. Question 2 · part f · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part f only.

(e) Define the term substitute.

(1)

(f) Describe **one** reason why a firm might stay small.

(2)

There are many market stalls selling food in Taba, Egypt. Some of these stalls have received positive reviews on social media about the quality of the food they sell.

(g) Explain **one** advantage of positive reviews for the owners of food stalls in Taba.

(3)

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8. Question 2 · part f · 2 marks · Working and answer

Working and answer

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9. Question 3 · part a · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part a only.

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3 (a) Which **one** of the following is a reason why a firm may decide to stay small?

(1)

- ☒ **A** To increase bureaucracy
- ☒ **B** To sell a niche product
- ☒ **C** To spread business risk
- ☒ **D** To take over competitors

(b) The introduction of a minimum wage above the equilibrium wage in a labour market is most likely to

(1)

- ☒ **A** increase quantity of labour demanded and decrease the wage rate
- ☒ **B** increase quantity of labour demanded and increase the wage rate
- ☒ **C** decrease quantity of labour demanded and decrease the wage rate
- ☒ **D** decrease quantity of labour demanded and increase the wage rate

(c) On the diagram below, draw and label economies of scale, diseconomies of scale and the point at which the firm is most efficient.

(3)

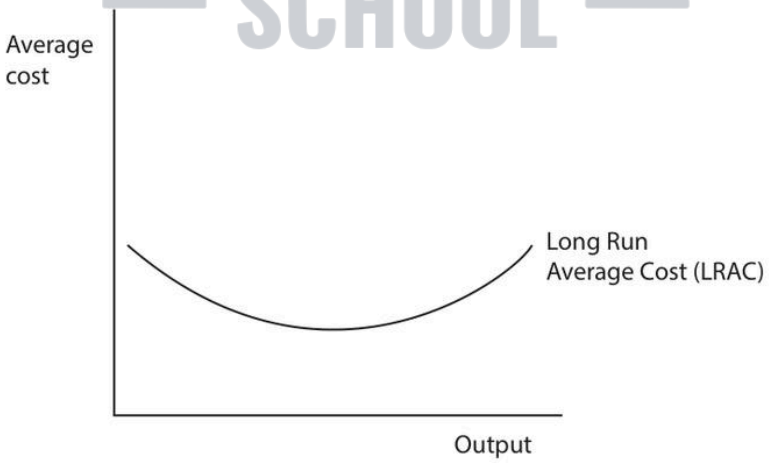


Figure 4

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9. Question 3 · part a · 1 mark · Working and answer

Working and answer

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10. Question 3 · part a · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part a only.

3 (a) Which **one** of the following may be a reason why a firm stays small?

(1)

- ☒ **A** Ability to take over competitors
- ☒ **B** Access to many sources of finance
- ☒ **C** Ability to spread risk
- ☒ **D** Aims of the entrepreneur

(b) Which **one** of the following describes a price elasticity of supply (PES) of 1.5?

(1)

- ☒ **A** Perfectly price elastic
- ☒ **B** Perfectly price inelastic
- ☒ **C** Price elastic
- ☒ **D** Price inelastic

Figure 5 shows the labour market for a country.

(c) Using the diagram below, draw the effect of a decrease in the school-leaving age on the labour market in this country. Label the new curve, the new equilibrium wage rate and the new quantity of workers.

(3)

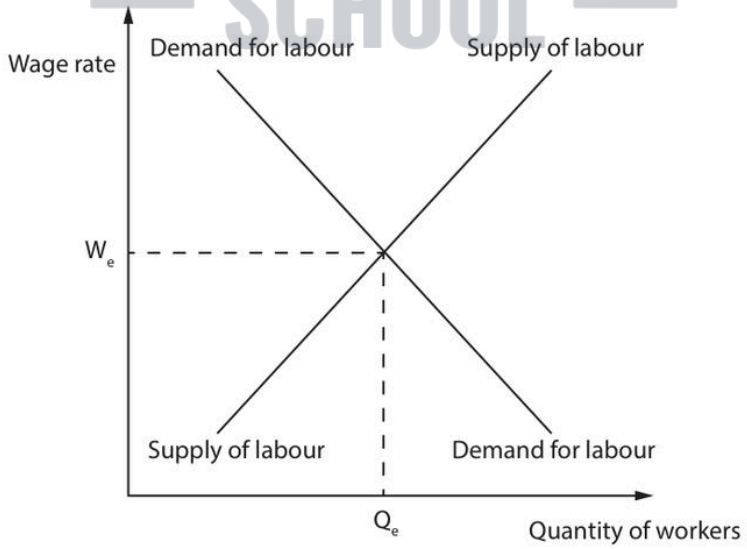


Figure 5

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10. Question 3 · part a · 1 mark · Working and answer

Working and answer

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Practice workbook · Division of labour: meaning, benefits and drawbacks

Splitting production into specialised tasks, and its benefits and costs for workers and businesses.

11 question parts: 1 worked-example retry and 10 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T12-05

1. Question 1 · part h · 3 marks

2023 JUN · Paper 01

Worked-example retry · Attempt part h only.

1 (a) Which **one** of the following might have caused the movement from PPF_1 to PPF_2 in Figure 1 above?

(1)

- ☒ **A** Negative economic growth
- ☒ **B** Positive economic growth
- ☒ **C** Diseconomies of scale
- ☒ **D** Economies of scale

(b) A firm has total costs of $10 000 and sells each item at a price of $100. It sells 200 items. What is the **profit or loss** for the firm?

(1)

- ☒ **A** $20 000 profit
- ☒ **B** $10 000 profit
- ☒ **C** $20 000 loss
- ☒ **D** $10 000 loss

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P 7 4 0 5 6 R A 0 2 2 4

1. Question 1 · part h · 3 marks

2023 JUN · Paper 01

Worked-example retry · Attempt part h only.

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(c) What is meant by the term privatisation?

(2)

(d) State **one** reason why the government regulates competition in the economy.

(1)

OLevels.COM SCHOOL

(e) Define the term congestion.

(1)

1. Question 1 · part h · 3 marks

2023 JUN · Paper 01

Worked-example retry · Attempt part h only.

Figure 2 shows some of the monthly production costs for a firm which makes furniture.

Production costs	€
Rent	30 000
Raw materials	16 500
Insurance	7 000
Labour (payment depends on output)	95 000

Figure 2

(f) Calculate the **total variable costs** for the firm each month. You are advised to show your working.

(2)

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1. Question 1 · part h · 3 marks

2023 JUN · Paper 01

Worked-example retry · Attempt part h only.

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Figure 3 shows the market for apples.

(g) Using the diagram below, draw the likely effects on the market for apples following an increase in the advertising of apples. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

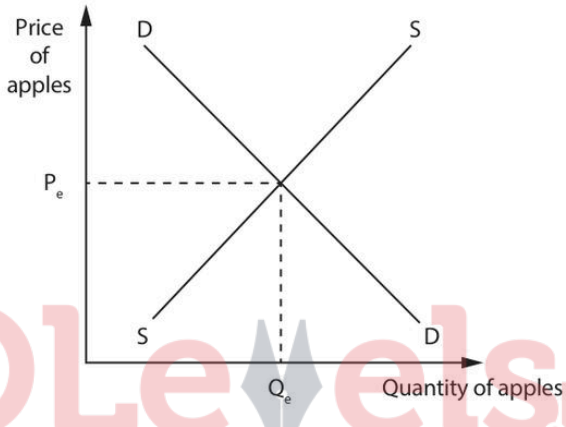


Figure 3

A firm produces tennis balls. There are a number of stages in the process of producing tennis balls. The firm uses division of labour in its factory.

(h) Explain **one** advantage of using division of labour for the firm.

(3)

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1. Question 1 · part h · 3 marks

2023 JUN · Paper 01

Worked-example retry · Attempt part h only.

Drinking water in the Canary Islands has to be filtered by machines to remove the salt from sea water. Samples are taken by production workers to ensure salt and impurities have been removed.

(i) With reference to the data above and your knowledge of economics, analyse how all four factors of production might be used to produce drinking water in the Canary Islands.

(6)

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6

1. Question 1 · part h · 3 marks · Working and answer

Working and answer

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2. Question 4 · part c · 12 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

4 In January 2018, the minimum wage in Andorra increased to €5.87 per hour.

(a) Calculate the **monthly gross income** of a worker in Andorra, employed for 175 hours per month and paid at the minimum wage. You are advised to show your working.

(2)

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2. Question 4 · part c · 12 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

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Sky Team is a group of 19 airlines, including Delta Airlines, KLM, Air France and China Airlines that share operating facilities and cooperate when setting flight routes. This allows more choice for passengers. Vietnam Airlines is a small airline that became a member of Sky Team in 2010. It was the first Southeast Asian airline to join Sky Team and has become more well-known to air passengers as a result of the group's advertising campaigns.

(b) With reference to the data above and your knowledge of economics, analyse how a smaller airline may benefit from internal economies of scale by joining a group such as Sky Team.

(6)

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2. Question 4 · part c · 12 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

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2. Question 4 · part c · 12 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

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Wong Thien runs the family's noodle-making factory, which has been operating in Jenjarum, Malaysia since 1950. The noodle-making process involves each worker blending ingredients to make dough, kneading the dough with long wooden rolling pins and cutting noodles to various sizes. Wong's factory now supplies 70% of the noodle-based food stalls in the town. He is considering introducing division of labour in the production process in order to increase productivity.

(c) With reference to the data above and your knowledge of economics, evaluate whether introducing division of labour is the best way for Wong to increase productivity in his noodle-making factory.

(12)

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2. Question 4 · part c · 12 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

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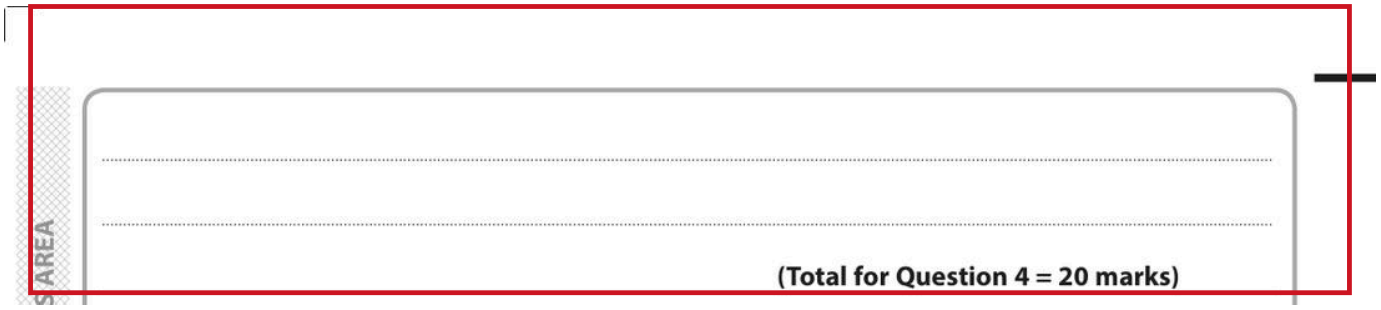
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2. Question 4 · part c · 12 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.



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2. Question 4 · part c · 12 marks · Working and answer

Working and answer

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3. Question 2 · part h · 9 marks

2021 JUN · Paper 01

Further practice · Attempt part h only.

2 (a) Which **one** of the following products has a price inelastic demand?

(1)

	Product	Price elasticity of demand (PED)
☒ **A**	**W**	−1.5
☒ **B**	**X**	−1
☒ **C**	**Y**	−0.5
☒ **D**	**Z**	1

(b) Which **one** of the following is the formula for calculating average cost?

(1)

☒ **A** $\frac{\text{Total fixed cost}}{\text{Quantity produced}}$

☒ **B** $\frac{\text{Total revenue}}{\text{Quantity produced}}$

☒ **C** $\frac{\text{Total cost}}{\text{Quantity produced}}$

☒ **D** $\frac{\text{Total variable cost}}{\text{Quantity produced}}$

(c) State **one** reason why governments intervene in the economy.

(1)

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3. Question 2 · part h · 9 marks

2021 JUN · Paper 01

Further practice · Attempt part h only.

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Figure 2 shows selected financial data of a firm selling shoes.

	Cost/Revenue per pair of shoes ($)
Selling price	89
Raw materials	17
Labour	35

Figure 2

(d) Calculate the **profit or loss** for the firm for each pair of shoes. You are advised to show your working.

(2)

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Governments can use fines to deal with externalities.

(e) Define the term fine.

(1)

3. Question 2 · part h · 9 marks

2021 JUN · Paper 01

Further practice · Attempt part h only.

(f) Describe **one** benefit to consumers of privatisation.

(2)

Microsoft has a patent on a number of its technological designs.

(g) Explain **one** reason why Microsoft might have patents on its designs.

(3)

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3. Question 2 · part h · 9 marks

2021 JUN · Paper 01

Further practice · Attempt part h only.

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Fast food restaurants around the world use division of labour during the production of food and drinks. Employees are given different tasks. Burgers are fried before being placed in a bread 'bun'. Chopped lettuce and tomatoes are then added. Potatoes are also peeled and sliced in order to make fries.

(h) With reference to the data above and your knowledge of economics, assess whether a firm, such as a fast food restaurant, always benefits from using division of labour.

(9)

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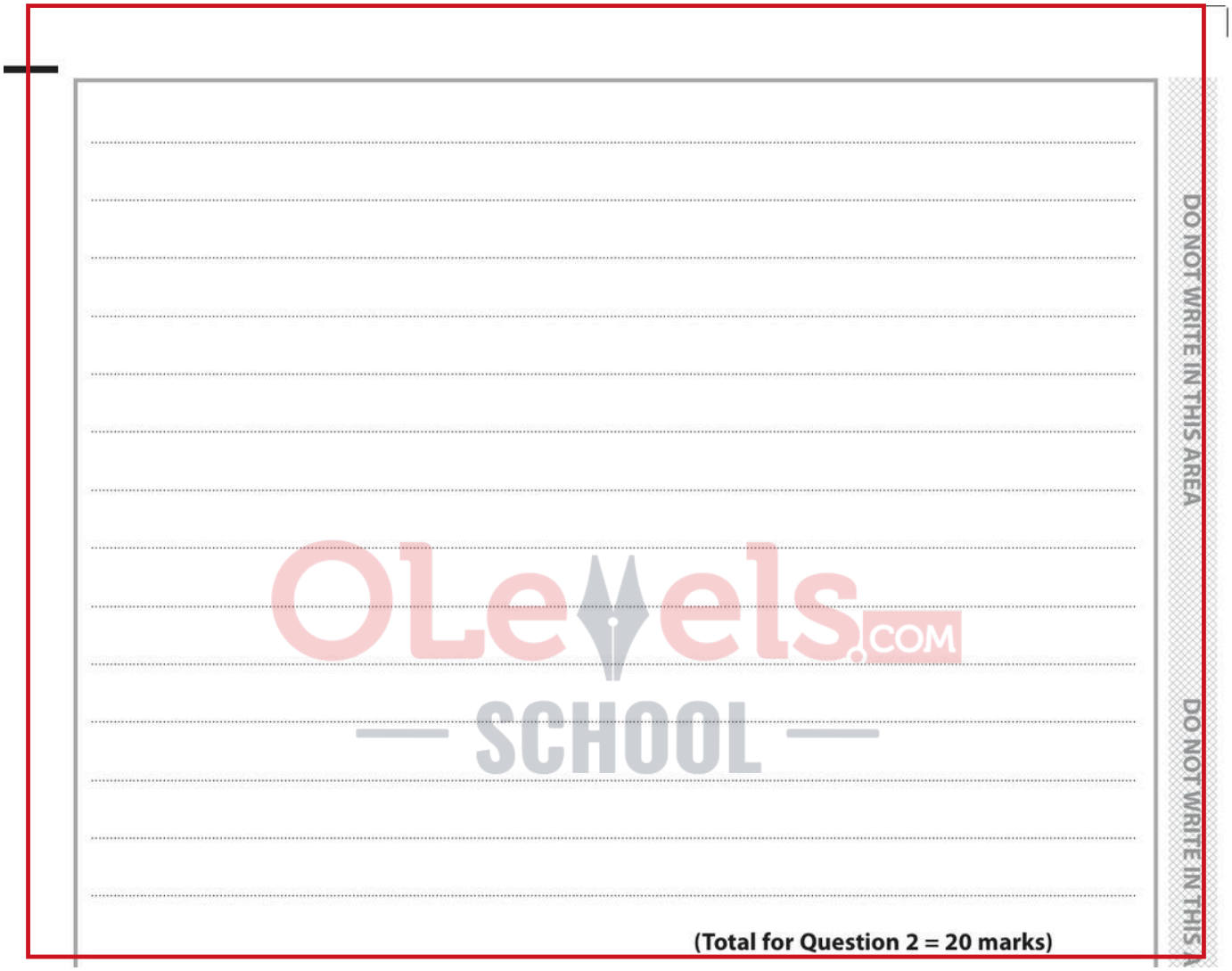
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3. Question 2 · part h · 9 marks

2021 JUN · Paper 01

Further practice · Attempt part h only.



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3. Question 2 · part h · 9 marks · Working and answer

Working and answer

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4. Question 1 · part a · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

1 (a) Which **one** of the following is defined as 'breaking down the production process into smaller tasks'?

(1)

- ☒ **A** Division of labour
- ☒ **B** Innovation
- ☒ **C** Labour intensive
- ☒ **D** Productivity

A firm sells 40 units of a good. Variable costs are $4 per unit. Customers pay $10 per unit.

(b) Which **one** of the following equals $400?

(1)

- ☒ **A** Price
- ☒ **B** Total costs
- ☒ **C** Profit
- ☒ **D** Total revenue

(c) What is meant by the term inferior good?

(2)

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4. Question 1 · part a · 1 mark · Working and answer

Working and answer

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5. Question 1 · part h · 3 marks

2022 JUN · Paper 01

Further practice · Attempt part h only.

1 (a) Which **one** of the following is a factor of production?

(1)

- ☒ **A** Taxation
- ☒ **B** Gym workout
- ☒ **C** Enterprise
- ☒ **D** Restaurant meal

A firm charges a price of $160 per item and has average costs of $120 per item. It sells 20 000 items.

(b) What is the total revenue for the firm?

(1)

- ☒ **A** $19 200
- ☒ **B** $20 160
- ☒ **C** $2 400 000
- ☒ **D** $3 200 000

(c) What is meant by the term normal good?

(2)

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5. Question 1 · part h · 3 marks

2022 JUN · Paper 01

Further practice · Attempt part h only.

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(d) State the formula for social benefits.

(1)

(e) Define the term niche market.

(1)

Greg produces pottery at a small factory in his local area. At the start of the year price increased by 5.4% and quantity supplied increased by 4.7%.

(f) Calculate, to two decimal places, the **price elasticity of supply (PES)** for Greg's pottery. You are advised to show your working.

(2)

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5. Question 1 · part h · 3 marks

2022 JUN · Paper 01

Further practice · Attempt part h only.

(g) Using the diagram below, draw the likely effects on the market for apples following a decrease in the price of bananas. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

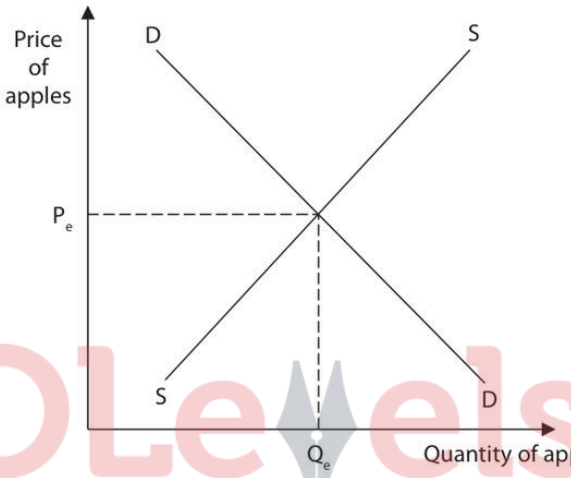


Figure 1

Warehouse employees at a small firm in Malta specialise in one task, such as sealing boxes, for orders that are sent to consumers.

(h) Explain **one** disadvantage of the division of labour for the warehouse employees.

(3)

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5. Question 1 · part h · 3 marks

2022 JUN · Paper 01

Further practice · Attempt part h only.

Regulation was introduced by the German Government in an attempt to reduce the number of plastic bottles being thrown away. A fee of €0.25 is added to the price of a product but is refunded when the bottle is returned. The new scheme is cheaper for the government and 98.5% of the bottles are now returned.

(i) With reference to the data above and your knowledge of economics, analyse the likely impact on externalities of this type of regulation.

(6)

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5. Question 1 · part h · 3 marks · Working and answer

Working and answer

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6. Question 2 · part g · 9 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part g only.

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2 The income elasticity of demand (YED) for a product can be calculated by using the information in Figure 3.

Change in quantity demanded	4.6%
Change in income	2%

Figure 3

(a) Which **one** of the following options best describes the demand for the product?

(1)

- ☒ **A** Unitary
- ☒ **B** Luxury
- ☒ **C** Inferior
- ☒ **D** Inelastic

(b) Which **one** of the following is the formula for social benefits?

(1)

- ☒ **A** Private costs + private benefits
- ☒ **B** Private benefits – private costs
- ☒ **C** Private benefits + external benefits
- ☒ **D** Private costs – external costs

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6. Question 2 · part g · 9 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part g only.

(c) What is meant by the term trade union?

(2)

Figure 4 shows the monthly costs per unit when a firm makes 3,000 units.

Quantity	Total fixed costs	Total variable costs
3,000	$6 200	$3 550

Figure 4

(d) Calculate the **average cost per unit (AC)** for the firm when it makes 3,000 units.
You are advised to show your working.

(2)

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6. Question 2 · part g · 9 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part g only.

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(e) Describe **one** way that high start-up costs can be a barrier to entry.

(2)

UK supermarkets operate in an oligopoly where the market is dominated by several large firms.

(f) Explain **one** disadvantage of this type of market structure for UK consumers.

(3)

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6. Question 2 · part g · 9 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part g only.

Foxconn Technology produces the new Apple iPhone at its factory in Shenzhen, China. It employs 270,000 workers in its factory. Each worker carries out a specific task which ranges from handling the phone screen, assembling components, checking the phone works, to packaging the phone ready to ship to the customer.

(Source adapted from: https://www.patentlyapple.com/2021/10/foxconns-shenzhen-factory-to-hire-an-additional-100000-plant-workers-to-keep-iphone-13-production-on.html)

(g) With reference to the data above and your knowledge of economics, assess the benefits for Foxconn Technology of using division of labour.

(9)

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6. Question 2 · part g · 9 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part g only.

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(Total for Question 2 = 20 marks)

6. Question 2 · part g · 9 marks · Working and answer

Working and answer

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7. Question 1 · part c · 2 marks

2023 JAN · Paper 01

Further practice · Attempt part c only.

1 (a) What is the name given to a firm that manufactures cars?

(1)

- ☒ **A** A primary sector firm
- ☒ **B** A secondary sector firm
- ☒ **C** A tertiary sector firm
- ☒ **D** A service sector firm

A firm that employs 540 workers has a total monthly output of 27,000 units.

(b) What is the monthly labour productivity of the firm?

(1)

- ☒ **A** 0.02 units
- ☒ **B** 50 units
- ☒ **C** 27,540 units
- ☒ **D** 14,580,000 units

(c) What is meant by the term division of labour?

(2)

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7. Question 1 · part c · 2 marks

2023 JAN · Paper 01

Further practice · Attempt part c only.

(d) State **one** factor of production.

(1)

(e) Define the term public sector.

(1)

Yusef paints portraits of tourists who visit his home town. He recently reduced the price he charges by 2.5% and quantity demanded increased by 3.2%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Yusef's portraits. You are advised to show your working.

(2)

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7. Question 1 · part c · 2 marks · Working and answer

Working and answer

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8. Question 1 · part c · 2 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

1 (a) For which **one** of the following will demand increase when incomes decrease?

(1)

- ☒ **A** Capital good
- ☒ **B** Inferior good
- ☒ **C** Luxury good
- ☒ **D** Normal good

A firm's monthly total costs are $2 640 and monthly fixed costs are $900.

(b) Which **one** of the following equals $1 740?

(1)

- ☒ **A** Price
- ☒ **B** Profit
- ☒ **C** Average total costs
- ☒ **D** Total variable costs

(c) What is meant by the term division of labour?

(2)

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8. Question 1 · part c · 2 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(d) State **one** reason why a supply curve will shift to the left.

(1)

(e) Define the term competition.

(1)

A firm sells its products at a price of € 75 per unit and has a cost per unit of € 35.

(f) Calculate the **total revenue** for the firm when its monthly sales are 250 units.
You are advised to show your working.

(2)

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8. Question 1 · part c · 2 marks · Working and answer

Working and answer

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9. Question 4 · part c · 12 marks

2023 NOV · Paper 01

Further practice · Attempt part c only.

4 Figure 5 shows profit for a firm between 2020 and 2022.

Year	Profit ($)
2020	20 250
2021	21 000
2022	22 950

Figure 5

(a) Calculate, to two decimal places, the **percentage change in profit** for the firm between 2020 and 2022. You are advised to show your working.

(2)

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9. Question 4 · part c · 12 marks

2023 NOV · Paper 01

Further practice · Attempt part c only.

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Marina Café is popular with tourists and locals in the town of Budva, Montenegro. It is situated next to the sea, with views of the surrounding mountains. Customers can enjoy their drinks whilst benefitting from the pleasant surroundings but pay €2.00 for a cup of coffee. The same brand of coffee can be bought for €0.80 a cup in some other cafés in Budva.

(b) With reference to the data above and your knowledge of economics, analyse why price elasticity of demand (PED) may be relatively inelastic at Marina Café.

(6)

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9. Question 4 · part c · 12 marks

2023 NOV · Paper 01

Further practice · Attempt part c only.

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9. Question 4 · part c · 12 marks

2023 NOV · Paper 01

Further practice · Attempt part c only.

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Churros are a popular Spanish snack made from fried pastry and covered in sugar and/or chocolate. Raphael operates a factory making the churros pastry, which is supplied to busy restaurants and street vendors all over Madrid, Spain. The factory has been owned by his family since 1980 and currently has 23 employees.

The pastry-making process involves mixing all the ingredients together and then heating them. Once the mixture has cooled, eggs are added and the dough is then shaped into lengths of about 15 cm. Raphael is considering introducing division of labour into the production process in order to increase productivity.

(c) With reference to the data above and your knowledge of economics, evaluate whether introducing division of labour is the best way for Raphael to increase productivity in his pastry-making factory.

(12)

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9. Question 4 · part c · 12 marks

2023 NOV · Paper 01

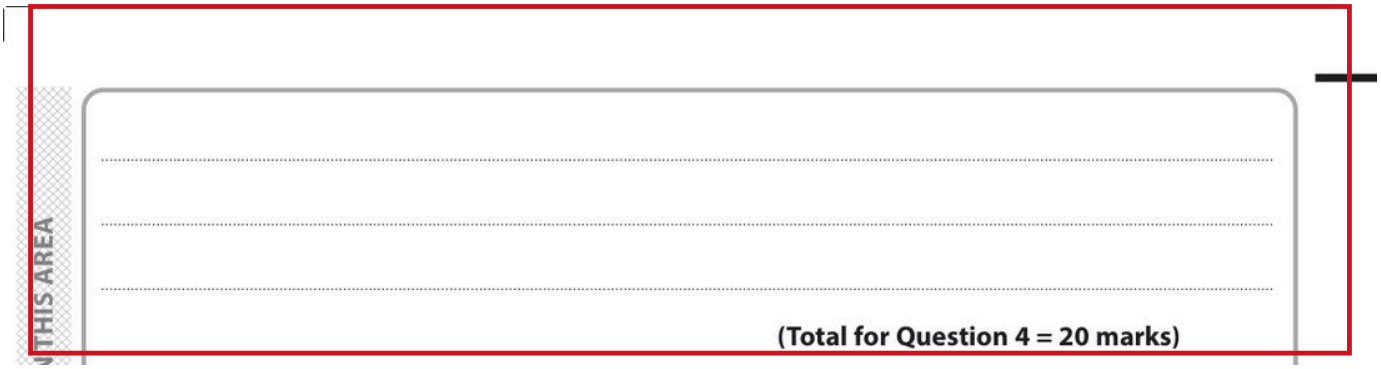
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9. Question 4 · part c · 12 marks

2023 NOV · Paper 01

Further practice · Attempt part c only.



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9. Question 4 · part c · 12 marks · Working and answer

Working and answer

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10. Question 3 · part d · 6 marks

2024 JUN · Paper 01

Further practice · Attempt part d only.

3 (a) An increase in which **one** of the following is most likely to cause a decrease in the supply of labour?

(1)

- ☒ **A** The retirement age
- ☒ **B** The school-leaving age
- ☒ **C** The population
- ☒ **D** The demand for the final product

(b) Which **one** of the following is the formula to calculate total revenue?

(1)

- ☒ **A** Quantity sold × price
- ☒ **B** Profit – price
- ☒ **C** Profit ÷ price
- ☒ **D** Quantity sold ÷ price

(c) Using the diagram below, draw a price elastic demand (PED) curve. Label the curve and show the impact on both axes from a change in price.

(3)



Figure 2

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10. Question 3 · part d · 6 marks

2024 JUN · Paper 01

Further practice · Attempt part d only.

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More than one million drinks are bottled each day at the Coca-Cola factory in Mwanza, Tanzania. Over 1,000 workers are involved in the process at its 65,000 m^2 site, which includes filling bottles, sealing them with caps and adding labels. This enables consumers across East Africa to enjoy brands such as Coca-Cola, Fanta and Sprite.

(d) With reference to the data above and your knowledge of economics, analyse the possible advantages for Coca-Cola of using division of labour at the factory.

(6)

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10. Question 3 · part d · 6 marks

2024 JUN · Paper 01

Further practice · Attempt part d only.

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10. Question 3 · part d · 6 marks

2024 JUN · Paper 01

Further practice · Attempt part d only.

Many firms in Bangladesh produce textiles. In the factories, cotton shirts, knitwear and suits are produced. These factories are often operating below capacity.

About 40% of the Bangladeshi population is employed in the agricultural sector. Crops such as wheat, corn and fruit are produced annually by this sector.

(e) With reference to the data above and your knowledge of economics, assess whether supply is likely to be more price elastic for textiles than for agricultural products.

(9)

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10. Question 3 · part d · 6 marks · Working and answer

Working and answer

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11. Question 2 · part g · 9 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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2 (a) Which **one** of the following products has a price elastic demand?

(1)

		Product	Price elasticity of demand (PED)
☒	**A**	**W**	–1.5
☒	**B**	**X**	–1
☒	**C**	**Y**	–0.5
☒	**D**	**Z**	0

(b) Which **one** of the following is the formula for calculating average cost?

(1)

☒ **A** Total cost ÷ quantity produced

☒ **B** Total fixed cost ÷ quantity produced

☒ **C** Total variable cost ÷ quantity produced

☒ **D** Total revenue ÷ quantity produced

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11. Question 2 · part g · 9 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

Figure 3 shows selected financial data of a firm producing calculators.

	$ per calculator
Selling price	$12.50
Raw materials	$3.25
Labour	$4.58

Figure 3

(c) Calculate the **profit or loss** for the firm for each calculator. You are advised to show your working.

(2)

(d) What is meant by the term patent?

(2)

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11. Question 2 · part g · 9 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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(e) Describe **one** advantage to a firm of being privatised.

(2)

Many cities in the US have increased the number of traffic-light cameras in order to catch motorists if they drive through a red (stop) light.

(f) Explain **one** reason why the US Government may use fines to reduce the negative externalities caused by motorists who drive through a red traffic light.

(3)

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11. Question 2 · part g · 9 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

Many car manufacturers use division of labour during the production of vehicles. Employees are each given different tasks, such as welding, painting, inspection and testing.

(g) With reference to the data above and your knowledge of economics, assess whether a car manufacturer always benefits from using division of labour.

(9)

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11. Question 2 · part g · 9 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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(Total for Question 2 = 20 marks)

11. Question 2 · part g · 9 marks · Working and answer

Working and answer

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